BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

In the Matter of

The Brooklyn Union Gas Companies d/b/a National Grid NY &
KeySpan Gas East Corporation d/b/a National Grid

Cases 23-G-0225 & 23-G-0226

September 1, 2023

Prepared Testimony of:

Staff Pipeline Safety Panel

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Q. Members of the Staff Pipeline Safety Panel, or SPSP or Panel, please state your names, employer and business addresses.

A. Our names are Jeffrey Kline, Jonathan Mercurio, Valerica Oreifej, Yaw Asante, and Kamal Elfahssi. We are employed by the New York State Department of Public Service, Department or DPS. Our business addresses are Three Empire State Plaza, Albany, New York 12223-1350, and 90 Church Street, 4th Floor, New York, New York 10007.

Q. Jeffrey Kline, what is your position at the Department?

A. I am employed as a Utility Supervisor in the Pipeline Safety Section with the Office of Energy System Planning and Performance.

Q. Please summarize your education and work experience.

A. I graduated in May 1986, from Western New England University, with a Bachelor of Science degree in Electrical Engineering. I have been employed by the Department of Public Service since November of 1994. Prior to that, I worked for the New York State Department of

Transportation as a materials technician. I am responsible for the investigation and analysis of gas, liquid, and steam pipeline utility facilities, Companies standard practices and records related to system design, construction, Operation and Maintenance. My duties also include ensuring compliance with the Federal and State pipeline safety regulations that apply to gas, liquid, and steam utilities and pipeline operators. My other duties include engineering support for the Safety Section Field Staff, reviewing possible violations relating to 16 New York Code, Rules, and Regulations, or NYCRR, Part 753, participating in rate proceedings and negotiations, reviewing proposed pipeline designs, processing petitions and waivers relating to code compliance matters, and reviewing proposed updates to utility operations and maintenance procedures.

Q. Have you previously provided testimony before the New York State Public Service Commission, or Commission?

A. Yes, I provided testimony in the Consolidated Edison Company of New York, Inc.’s, or Con

Edison, steam rate case, Case 07-S-1315.

Q. Jonathan Mercurio, what is your position at the department?

A. I am employed as a Utility Engineering Specialist 3 in the Pipeline Safety Section with the Office of Energy System Planning and Performance.

Q. Please summarize your education and work experience.

A. I graduated from Farmingdale State University of New York in Farmingdale, NY in 2008 with a Bachelor of Science degree in Electrical Engineering Technology. I have been employed by the department since 2009 in the Pipeline Safety with the Office of Energy System Planning and Performance. I am familiar with Federal and State gas safety pipeline codes, steam pipeline safety codes, and with the operations of the major gas downstate utilities in New York. My duties include reviewing proposed pipeline designs, reviewing proposed updates to utility operations and maintenance procedures, and reviewing proposed changes to Federal and State gas safety pipeline codes. In addition, I

perform record and field audits of local distribution companies and interstate pipelines to ensure compliance with the Federal and state gas pipeline safety regulations. I also inspect construction activities at local distribution companies and interstate pipelines to ensure compliance with federal and state pipeline safety regulations.

Q. Have you previously provided testimony before the Commission?

A. Yes. I have testified in utility rate cases for The Brooklyn Union Gas Companies d/b/a National Grid NY, or KEDNY, Case 19-G-0309, The KeySpan Gas East Corp. d/b/a National Grid NY, or KEDLI, Case 19-G-0310, Con Edison, Cases 16-G-0061, and 13-S-0032, and for Orange and Rockland Utilities, Case 10-E-0362.

Q. Valerica Oreifej, what is your position at the Department?

A. I am a Utility Engineering Specialist 3 in the Pipeline Safety Section with the Office of Energy System Planning and Performance.

Q. Please summarize your education and work experience.

A. I graduated from Polytechnic Institute "Traian-Vuia" Timisoara, Romania with a master's degree in Civil Engineering. After graduation, I worked as a Hydraulic Engineer with The Execution and Utilization of Works in Land Reclamation Agency, Timisoara, Romania. In 1998 I earned a promotion to the Agency of State Domains as an Inspector Specialist for the Western Region of Romania. In that capacity, I oversaw and authorized operations encompassing transactions/transfers of holdings, properties, and lands under state's ownership to the private sector. I joined the Department in November 2001. During my employment with the Department, I have been responsible for reviewing and analyzing various rate and regulatory issues, such as electric, gas and water utility applications for rate increases, and surcharge and transfer petitions. I joined the Pipeline Safety Section in May 2014. I am familiar with Federal and State pipeline safety codes, as well as with the operations of major gas utilities in New York State. My duties include reviewing proposed pipeline designs, conducting Operating

and Maintenance Program Audits for gas utilities, reviewing proposed changes to Federal and State gas pipeline safety codes, enforcement of probable violations relating to damage prevention, reviewing utility petitions filed under Articles 7 and 10, and testifying to gas safety related issues for various rate proceedings.

Q. Have you previously provided testimony in proceedings before the Commission?

A. Yes. I have provided testimony in numerous proceedings before the Commission related to electric, gas, steam, and water utilities. I most recently provided testimony in utility rate cases for Central Hudson Gas & Electric Corporation, in Case 20-G-0429, the St. Lawrence Gas Companies, Inc. in Liberty Utilities Co., in Case 18-G-0140, Corning Natural Gas Companies, in Case 20-G-0101, and for Liberty Utilities (St. Lawrence Gas) Corp., in Case 21-G-0577.

Q. Yaw Asante, what is your position at the Department?

A. I am employed by the Department as a Utility Engineering Specialist 2 in the Pipeline Safety

Section with the Office of Energy System Planning and Performance.

Q. Please summarize your education and work experience.

A. I graduated from Southern Methodist University in Dallas, TX in 2015 with a Bachelor of Science Degree in Environmental Engineering with a Biomedical Specialization. I worked as an On-Call Engineer for Integral Consulting in 2016, where I performed construction monitoring and sampling of contaminated worksites, aquifers, and ecosystems. I have been employed by the department since March 2017 in the Pipeline Safety section of the Office of Energy System Planning and Performance. I am familiar with Federal and State gas safety pipeline codes, steam pipeline safety codes, and with the operations of the major gas downstate utilities in New York. My duties include reviewing proposed pipeline designs, reviewing proposed updates to utility operations and maintenance procedures, and reviewing proposed changes to Federal and State gas safety pipeline codes. In addition, I perform record and field audits of

local distribution companies and interstate pipelines to ensure compliance with the Federal and state gas pipeline safety regulations. I also inspect construction activities at local distribution companies and interstate pipelines to ensure compliance with federal and state pipeline safety regulations.

Q. Have you previously provided testimony in proceedings before the Commission?

A. No, I have not.

Q. Kamal Elfahssi, what is your position at the Department?

A. I am employed by the Department as an Assistant Engineer, in the Pipeline Safety & Reliability Section with the Office of Energy Planning and Performance.

Q. Please summarize your education and work experience.

A. I graduated from the Sciences University of Ben Tofail of Kenitra, Morocco in 1993 with a bachelor’s degree in Animal Biology. I graduated in 2016, from the Grove School of Engineering at the City College of New York, with a bachelor’s degree in Environmental

Engineering. I worked in Morocco as a lab technician in the Department of Health and Hygiene from 1994 to 1996, and I worked with the Department of Public Works as Quality Control Technician from 1997 to 1998. In 2000, I moved to the United States of America. I worked in the OMG warehouse in New York City (NYC) as a stockboy from 2000 to 2003. In 2004, I started working with a distribution Companies in the Chelsea Market in NYC as a delivery box-truck driver. In 2011, I started working at Airtek Environmental Corp. as an environmental Hazmat technician specializing in air quality and lead assessment. In 2016, I started working as an Industrial Hygienist with Louis Berger in NYC, where I managed projects involving hazardous construction materials. In August 2016, I started working at the New York City Department of Design and Construction as a project manager; my duties were mainly to determine and resolve interferences between NYC's water and sewer projects and other underground or overhead utilities. In April 2017, I started working with the New York State Department of Public

Service as a Utility Engineer Trainee with the Pipeline Safety Section, before becoming an Assistant Engineer in 2018. I currently work on utilities' Operation and Maintenance Plan audits, rate cases, and other construction focused filings. I have also worked previously on Damage Prevention Program, in Article 7 and 10 proceedings, and in other proceedings which resulted in the adoption of new rules or regulations by the Commission.

Q. Have you previously provided testimony in proceedings before the Commission?

A. Yes. I have provided testimony before the Commission in rate cases for Corning Natural Gas Company, Case 20-G-0101, and for Liberty Utilities (St. Lawrence Gas) Corp., Case 21-G-0577.

Scope of Testimony

Q. What is the purpose of the SPSP's testimony in this proceeding?

A. The purpose of our testimony is to address KEDNY and KEDLI's safety performance measures in the areas of leak management, leak prone pipe, or LPP, removal, emergency response, damage

prevention, and compliance with pipeline safety regulations. In addition, we will address the following programs: Operator Qualification; Advanced Communication Infrastructure – Residential Methane Detectors; Meter Relocation; Inside Service Line Inspections; Voluntary Integrity Management Program, or IMP, for Pipelines Operating above 125 pounds per square in gauge, or psig; Damage Prevention Program Enhancements; and Gas Pipeline Safety and Compliance.

Q. In this testimony, will the Panel refer to, or otherwise rely upon, any information obtained during the discovery phase of this proceeding?

A. Yes, we will refer to, and have relied upon, several responses to interrogatories or Information Requests, or IRs, provided by KEDNY and KEDLI contained in Exhibit___(SPSP-1). In addition, the Panel will provide Exhibit___(SPSP-2) which shows the Panel's recommended metric targets and associated revenue adjustments, and Exhibit___(SPSP-3), details the breakdown of the requirements of 16 NYCRR Parts 255 and 261 and 49 Code of Federal

Regulations Part 193, or 49 CFR 193, that categorize risks into "high" and "other" risk categories.

Pipeline Safety Performance Measures

Q. What is the purpose of pipeline safety performance measures?

A. The performance measures help ensure reliable and safe utility service by requiring Local Distribution Companies, or LDCs, maintain focus on important safety areas. The performance measures for each respective LDC are derived from their actual historic performance levels, the Panel's and DPS Staff's knowledge of and experience with the Companies, and with other LDCs across the State.

Q. Please explain the pipeline safety performance measures currently in place for KEDNY and KEDLI.

A. Currently, KEDNY and KEDLI have performance measures for leak management, LPP removal, emergency response, damage prevention, and compliance with pipeline safety regulations.

Q. Do these performance measures have associated positive and negative revenue adjustments?

A. Yes. All performance metrics have associated

negative revenue adjustments, or NRAs, with associated potential basis point, or BP, adjustments. Currently, the Damage Prevention, Leak Management, and Emergency Response - 30 minutes measures have associated positive revenue adjustments, or PRAs.

Q. Under the Companies' current rate plans, what are the maximum NRAs and PRAs, in BPs, for the gas safety performance metrics?

A. KEDNY and KEDLI can currently incur up to 150 BPs of NRAs, and up to 22 BPs of PRAs.

Q. What is the value of a basis point, currently?

A. Under the Companies' current rate plans, one basis point equals approximately $0.380 million for KEDNY and $0.250 million for KEDLI.

Q. Does the Panel recommend any modifications to these performance measures and associated negative and positive revenue adjustments?

A. For the NRAs, we recommend that the Commission maintain the current 150 BPs exposure to be consistent with other utilities. For the PRAs, the Panel recommends that the BPs for leak management metric be eliminated, bringing down the total number of BPs KEDNY and KEDLI can earn

to 16. Our recommended changes to the existing targets and associated revenue adjustment for each metric are further discussed below.

Leak Management

Q. What does the Panel mean by the term leak management?

A. Leak management refers to a gas utility's ability to monitor and repair new and existing leaks on its natural gas system.

Q. Do KEDNY and KEDLI currently have safety related targets for leak management?

A. Yes. For KEDNY the current targets approved by the Commission's Order Approving Joint Proposal, As Modified, and Imposing Additional Requirements, issued August 12, 2021, in Cases 19-G-0309 and 19-G-0310, or the 2021 Rate Order, are as follow: for total leak backlog, which includes Type 1, Type 2A, Type 2, and Type 3 leaks are 2,250, 1,800, 1,650, 1,500, and 1,350 leaks at year-end 2020, 2021, 2022, 2023, and 2024, respectively. For KEDLI, the total leak backlog targets are 6,700, 5,750, 5,000, 4,250, and 3,500 leaks at year-end 2020, 2021, 2022, 2023, and 2024, respectively. For repairable

leak backlog, which includes Type 1, Type 2A and Type 2 leaks, the target for each company is twenty leaks or less at year-end 2020 through 2024.

Q. Please explain what the Panel means by Type 1, Type 2A, Type 2, and Type 3 leaks.

A. In New York State we use a leak classification system to determine the degree of potential hazard resulting from gas leakage. Types 1 leaks present the highest potential hazard while Types 3 leaks present the least hazard.

Q. Does a failure to meet the leak backlog targets trigger NRAs?

A. Yes. Failure to meet the repairable leak backlog target would result in an NRA of ten BPs and failure to meet the total leak backlog target would result in an NRA of five BPs, for a total potential maximum NRA of 15 BPs in any one year.

Q. Please explain the PRA KEDNY and KEDLI can earn currently related to the leak management metric.

A. KEDNY’s and KEDLI’s current, beginning in 2021, the PRA functions as follows: for every 100 additional leaks repaired beyond the total leak

target in a calendar year, the Companies can earn a PRA of two BPs. This incentive is capped at 300 additional leak repairs or six BPs. If KEDNY and/or KEDLI earn a PRA in a calendar year, the following year's target will be adjusted downward, or made more stringent, based on the additional leaks repaired.

Q. How have KEDNY and KEDLI performed regarding the leak management targets for the period 2020 through 2022?

A. As indicated in the Companies' response to DPS-152, as shown in Exhibit_____(SPSP-1), the number of backlogged or unrepaired leaks at each year's end 2020 through 2022, declined for both companies. KEDNY and KEDLI met the total and repairable leak backlog targets 2020 through 2022. With respect to the PRA for total leak backlog, only KEDLI earned PRAs for its performance in 2021 and 2022. For 2021, KEDLI's total leak backlog target was set at 5,750 leaks, as noted above, and KEDLI's performance was 5,494 leaks: earning KEDLI a four BP PRA. This also resulted in 2022 target being adjusted from 5,000 leaks to 4,800 leaks and their 2023

target being adjusted from 4,250 leaks to 4,050 leaks. In 2022, KEDLI's total leak backlog was 4,671 leaks, which earned KEDLI a two BP PRA and a revised target of 4,050 leaks to 3,950 leaks for 2023.

Q. What was each Companies' total leak backlog at the end of 2022?

A. For KEDNY the total leak backlog was 1,627 and for KEDLI it was 4,671 leaks.

Q. Have KEDNY and KEDLI proposed any changes to their current leak management targets?

A. KEDNY proposed to maintain the current annual reduction of 150 leaks, for a proposed total leak backlog targets of 1,350 at year-end 2024, 1,200 at year-end 2025, 1,050 at year-end 2026, and 900 at year-end 2027. KEDLI proposed to implement phased reductions in the annual targets. KEDLI proposed to maintain their current annual reduction of 750 leaks for total leak backlog targets of 3,200 leaks at year-end 2024, and 2,450 leaks at year-end 2025. KEDLI proposed a reduction of 650 leaks for a proposed target of 1,800 total leak backlog at year-end 2026, and 1,250 total leak backlog at year-end

2027. KEDNY and KEDLI also propose maintaining the current repairable leaks backlog target of twenty or less leaks at year-end per each CY year.

Q. Have KEDNY and KEDLI proposed any changes to the current negative or positive revenue BPs at risk regarding these targets?

A. KEDNY and KEDLI proposed to maintain the current negative and positive revenue BPs at risk.

Q. What does the Panel recommend with respect to the repairable leak backlog targets?

A. For the repairable leak backlog the Panel recommends that KEDNY and KEDLI reduce their backlog target from 20 or less to 10 or less leaks at year-end.

Q. What does the Panel recommend with respect to the total leak backlog targets?

A. For total leak backlog, the Panel recommends that KEDNY and KEDLI reduce their total leak backlog to the following target levels: for KEDNY 1,000 leaks at year end 2024; 900 leaks at year-end 2025; 750 leaks at year-end 2026; and 600 leaks at year-end 2027. For KEDLI the Panel recommends the following leak backlog targets:

2,200 leaks at year-end 2024; 1,450 leaks at year-end 2025; 800 leaks at year-end 2026; 250 leaks at year-end 2027; and 150 leaks at year-end for every year thereafter until modified by the Commission. The 150-leak target post 2027 creates parity in the targets between KEDNY and KEDLI at that time.

Q. What does the Panel recommend with regards to the associated negative revenue adjustments?

A. The Panel recommends that KEDNY and KEDLI's current NRA of 10 BPs for failure to meet the repairable leak backlog target, and the NRA of 5 BPs for failure to meet the total leak backlog targets be maintained.

Q. Does the Panel have any changes to the positive revenue adjustments?

A. Yes. The Panel recommends eliminating the current PRA for the leak management metric.

Q. Explain why the Panel recommends lowering both, the total and the repairable leak backlog targets, thus making them more stringent.

A. Leaks pose an increased safety risk to the public. KEDNY and KEDLI account for 86 percent of the total number of leaks in New York State.

In fact, over the past fifteen years KEDNY and KEDLI combined have had more than half the total state-wide leak backlog. This shows that KEDNY and KEDLI have not pursued fixing leaks as aggressively as other utilities in New York. From 2008 to 2016, KEDNY and KEDLI went from a 62 percent to an 83 percent share of the total leak backlog in New York. Since 2016, KEDNY and KEDLI's share of the state-wide leak backlog has steadily and continually increased to its current level. Without a major commitment by the KEDNY and KEDLI to fix leaks, KEDNY and KEDLI share will continue to increase. For repairable leak backlog, both KEDNY's and KEDLI's historical performance from 2018 through 2022 demonstrates that the Companies have been, and are, able to meet the ten or less leaks target recommended by Staff.

Q. What have the Companies demonstrated regarding the reduction in their total leak backlog?

A. For the total leak backlog, over the five years, 2018 through 2022, the Companies have demonstrated progress by reducing the total leak backlog from 2,803 leaks to 1,627 leaks for

KEDNY, and from 8,199 leaks to 4,671 leaks, for KEDLI.

Q. Are there any other reasons the Commission should adopt the Panel's recommended targets?

a. The reduction in the number of leaks has the added benefit of making progress toward with the State's CLCPA goals, specifically, to reduce methane emissions. Additionally, to address methane emissions, the United States Department of Transportation, Pipeline and Hazardous Materials Safety Administration, or PHMSA, has a proposed rule that will require all existing Type 3 leaks to be repaired within a specified timeframe. While a final rule has not been adopted, the proposed rule requires all existing Type 3 leaks to be repaired within 3 years of the effective date of the final rule. Without aggressive targets, KEDNY and KEDLI will, considering their current backlog, find it extremely difficult to comply with the target dates if, or when, the rule is adopted.

Q. Does the Panel have additional recommendations?

A. Yes. According to DPS-986, Exhibit ___(SPSP-1), KEDNY has a total of 1,616 Type 3 leaks of which

488, or 30 percent, are over two years old with the oldest dating back to 2014. Moreso, KEDLI has a total of 4,663 Type 3 leaks of which 3,356, or 61 percent, are over two years old, with the oldest dating back to 1991. Some of these leaks are over 30 years old. Combined, almost 50 percent of the Companies' total outstanding Type 3 leaks are over two years old. Compared to the entire State backlog, these leaks that over two years old account for 52 percent of the total Statewide leak backlog, more than the other gas utilities combined, regardless of age. Since such a significant amount of Type 3 leaks far exceed the age thresholds, the Panel also recommends that the Commission set a repair time limit of two years for newly discovered leaks once the leak backlog has been reduced to 500 type 3 leaks for KEDNY and KEDLI.

Q. How long should the total leak backlog targets and associated NRAs remain in place?

A. The total leak backlog targets and associated NRA BPs should remain in effect until otherwise directed by the Commission.

Removal or Elimination of Leak Prone Pipe

Q. What is leak prone pipe?

A. Generally, LPP is unprotected steel pipe, cast iron pipe, wrought iron, and some vintages of plastic pipe that may become brittle.

Q. What does unprotected mean in this context?

A. For purposes of the LPP removal pipeline safety measure, unprotected means that the pipe lacks adequate cathodic protection rendering it susceptible to corrosion. Unprotected steel pipe is also commonly referred to as bare steel pipe.

Q. What is Cathodic protection?

A. Cathodic protection is a method by which steel pipelines are protected from corrosion by making the surface a cathode, thereby inhibiting the formation of iron oxides which can result in reduced wall thickness of the pipe. Unprotected pipe often has no surface coating or inadequate coating, rendering efforts to cathodically protect the pipe ineffective and uneconomical.

Q. How does the LPP removal program contribute to the safety of the Companies' gas systems?

A. Leaks on underground piping can create safety

risks to the public and can potentially lead to gas-related incidents, such as fires or more serious catastrophic events that could impact health and safety. LPP generally leaks at a higher rate than coated and cathodically protected steel or plastic pipes so LPP poses a higher risk of failure or gas-related incidents. Since other methods to resolve the leak are infeasible, ineffective or uneconomical the removal of LPP aptly reduces these safety risks.

Q. Explain the importance of removing unprotected or bare steel and cast-iron pipe.

A. Unprotected or bare steel pipes are more prone to leakage because they are more susceptible to corrosion. Removal of these pipes reduces risks associated with leakage. As for cast iron pipe, it is brittle, susceptible to graphitization which is a form of corrosion, and has low beam strength meaning that the material can fail if it is subjected to heightened loads or a loss of ground support, which makes the material particularly susceptible to stresses resulting from underground disturbances. This includes ground settlement, freeze-thaw cycles, soil

erosion, or nearby excavation activities. Its physical characteristics make it more prone to catastrophic failure than cathodically protected steel and plastic pipe. In the event of a major leak or failure, these circumstances may lead to increased migration of below ground gas and pose a greater risk of fires or explosions. Removal of this type of pipe reduces the potential for leaks and incidents resulting from its failure. This will in turn improve the public safety. This is important since most bare steel or cast-iron pipe was installed many decades ago, it tends to be located in densely populated areas where there are many enclosed structures and continuous pavement.

Q. What are other benefits associated with removing LPP?

A. The removal of LPP should also reduce the number of active leaks, leads to a decline in leakage rates on the distribution system and reduces overtime and Operation and Maintenance, or O&M, costs associated with responding to odor complaints from the public and continued surveillance of exiting leaks. In addition to

O&M cost reduction, the removal of leak prone pipe from the system would result in additional methane emission reduction in the future and contribute toward key CLCPA goals.

Q. Do KEDNY and KEDLI have currently leak prone pipe replacement programs?

A. Yes. Pursuant to the Commission's 2021 Rate Order, KEDNY is required to replace a cumulative four-year total of 194 miles of LPP by the end of 2023. The 2021 Rate Order established LPP removal targets for KEDNY of 48 miles in 2020, 50 miles in 2021, 50 miles in 2022, and 46 miles in 2023. KEDNY will incur a NRA of 15 BPs if it fails to remove a minimum number of 38 miles of LPP in 2020, 45 miles in 2021, 45 miles in 2022, or 41 miles in 2023, or the cumulative four-year totals of 194 miles of LPP by the end of 2023. KEDLI was required to replace a cumulative four-year total of 477 miles of LPP by the end of 2023, with removal targets of 116 miles in 2020, 121 miles in 2021, 121 miles in 2022, and 119 miles in 2023. KEDLI will incur a NRA of 15 BPs if it fails to remove a minimum number of 101 miles of LPP in 2020, 116 miles in 2021, 116

miles in 2022, or 114 miles in 2023, or the cumulative four-year total of 477 miles of LPP by the end of 2023. There are no positive revenue adjustments for LPP removal.

Q. For each of the past five calendar years, 2018 through 2022, how many miles of leak prone pipe have KEDNY and KEDLI removed in total?

A. According to KEDNY's and KEDLI's response to the DPS-200, as shown in Exhibit___(SPSP-1), KEDNY replaced 63.6 miles of leak prone pipe in 2018, 62.9 miles in 2019, 50.8 miles in 2020, 55.2 miles in 2021, and 50 miles in 2022, and KEDLI replaced 138 miles of leak prone pipe in 2018, 153.9 miles in 2019, 118.7 miles in 2020, 126.8 miles in 2021, and 123.1 miles in 2022.

Q. Have KEDNY and KEDLI proposed any changes to current leak prone pipe targets?

A. Yes. KEDNY proposes LPP removal targets of 38, 41, 43, and 44 miles of LPP replacement in each CY 2024 through 2027, respectively, or the cumulative four-year total of 166 miles of LPP by the end of 2027. KEDLI proposed LPP removal targets of 110, 114, 115, and 117 miles of LPP replacement in each CY 2024 through 2027,

respectively, or the cumulative four-year total of 456 miles of LPP by the end of 2027. These targets are inclusive of all the Companies' LPP removal efforts. The Companies proposed to also continue to replace leak-prone services, or LPS, in conjunction with LPP main removal efforts.

Q. Does this Panel agree with KEDNY's and KEDLI's proposed LPP targets?

A. No. The Panel does not agree with Companies proposed targets for the LPP metric.

Q. What does the Panel recommend regarding LPP removal targets for KEDNY?

A. Based on historical performance, excluding performance during the COVID-19 pandemic, we recommend the following targets, and as shown in Exhibit___(SPSP-2), for KEDNY we recommend minimum targets of 55 miles in CY 2024; 65 miles in CY 2025; 75 miles in CY 2026; and 85 miles in CY 2027. Failure to meet these targets will result in a NRA of 15 BPs for each year.

Q. What does the Panel recommend regarding LPP removal targets for KEDLI?

A. For KEDLI the Panel recommends the following LPP targets: 125 miles in CY 2024; 135 miles in CY

2025; 145 miles in CY 2026; and 155 in CY 2027. Failure to meet these targets will result in a NRA of 15 BPs for each year.

Q. Why does the Panel recommend higher LPP targets than the targets proposed by the Companies?

A. There is a direct correlation between the number of leaks eliminated and the removal of leak prone pipe. The more miles of LPP are being removed the higher the number of leaks that are being eliminated. Eliminating leaks in the distribution system results in reduced overtime, reduced cost associated with responding to leak calls, and monitoring and repairing leaks. Removal of LPP results in increases in safety and reduced methane emission. Therefore, we consider that removal of LPP from the system should be accelerated beyond the Companies' proposal.

Q. Using the Companies' proposal when would they complete their LPP removal programs?

A. Using the Companies proposed targets results in an anticipated completion of LPP removals for KEDNY in 2052, and for KEDLI in 2049.

Q. Using the Panel's recommended targets when would

the Companies complete their LPP removal programs?

A. The Panel's proposed targets put KEDNY on track to complete their LPP program by 2043, six years earlier than the Companies' proposed. Our proposal puts KEDLI on track to complete its LPP removal program by 2046, three years earlier than the Companies proposed.

Q. Have KEDNY and KEDLI proposed changes with respect to associated revenue adjustments for LPP removals?

A. KEDNY and KEDLI proposed to continue the negative revenue adjustments of 15 BPs should they fail to achieve their proposed LPP removal targets. KEDNY and KEDLI also proposed to reinstitute the LPP unit cost productivity incentive mechanism that was adopted in in the Commission's Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans, in Cases 16-G-0058 and 16-G-0059.

Q. What is the LPP unit cost productivity incentive mechanism as proposed by the Companies in these proceedings?

A. The LPP unit cost productivity incentive would

allow KEDNY and KEDLI to earn a PRA of up to 10 BPs if KEDNY and KEDLI can meet specific unit cost targets. Adjustments to the proposed LPP unit cost productivity incentive mechanism are addressed in detail by DPS Staff's Gas Infrastructure and Operations Panel.

Q. Will KEDNY and KEDLI continue to retire leak prone services in conjunction with the LPP removal?

A. Yes. It is common for companies to group mains and services together within a single project. This grouping results in the most cost-efficient approach to the retirement of LPP, in addition to minimizing the time a customer is without natural gas due to this work. We recommend that the Companies address service line replacements in conjunction with main replacements to generate further efficiencies and minimize customer disruptions.

Q. Does the Panel recommend continuation of revenue adjustments associated with meeting LPP removal targets?

A. The Panel supports continuation of the NRAs for failing to meet these targets. Thus, a failure

to meet these targets in any given year would result in a negative revenue adjustment of 15 BPs as would failure to meet the cumulative target for the period of CY 2024 through CY 2027.

Q. How long should the targets and the negative revenue adjustments stay in effect?

A. The annual LPP targets for 2027 for both Companies should stay in effect and apply each year until altered by the Commission. Further, the associated NRAs should remain in effect until altered by the Commission.

Emergency Response

Q. Please describe the emergency response performance measure applicable to KEDNY and KEDLI and other LDCs in the state.

A. The emergency response performance measure evaluates the Companies' response time to gas leak, odor, and emergency calls generated by the public and non-Company personnel. The LDCs recognize that leaks on inside piping, improperly operated or installed appliances, and gas migrating into buildings from an outside leak present risk to the general public and

thus, dispatch personnel on a priority basis in response to calls reporting suspected gas leaks or odors. The LDCs are required to maintain a log of such calls and track the elapsed time between the dispatching and arrival time of qualified service personnel responding to the scene. The longer it takes an LDC to respond, the higher the risk and the higher the potential of a serious incident or safety threat to the general public. Therefore, it is important that LDCs minimize their response times for responding to gas leaks and odor calls.

Q. Were targets for the emergency response performance metric and associated revenue adjustments set by the Commission?

A. Yes, the Commission set targets and associated revenue adjustments in the 2021 Rate Order.

Q. What were those targets and revenue adjustments?

A. On a calendar year basis KEDNY and KEDLI must respond to 75 percent, 90 percent, and 95 percent of all gas leak and odor calls within 30, 45, and 60 minutes, respectively. Failure to meet the 75, 90, or 95 percent thresholds within 30, 45, or 60 minutes, respectively,

results in NRAs of twelve, eight, and five BPs, respectively. For responding to between 86 to 87.99 percent of emergency calls within 30 minutes, KEDNY and KEDLI can earn a PRA of two BPs; four BPs for responding to between 88 to 89.99 percent of emergency calls; and, six BPs for responding to 90 percent or greater of calls within 30 minutes.

Q. How do these targets compare with the standards applicable to other LDCs in the state?

A. KEDNY's and KEDLI's standards for the emergency response measure are the same as the other LDCs in New York State.

Q. How have the KEDNY and KEDLI performed in their emergency response efforts in the past five years?

A. In the past five years, both KEDNY and KEDLI exceeded the established targets.

Q. Have KEDNY and KEDLI proposed any changes to their current emergency response targets and associated negative revenue adjustments?

A. KEDNY and KEDLI did not propose any changes to their current emergency response targets and their associated revenue adjustments.

Q. Does this Panel recommend making any changes to the current targets or associated revenue adjustments?

A. No. The Panel recommends that the Commission maintain the current targets and associated revenue adjustments.

Q. Does the Panel have any other recommendations?

A Yes. We recommend to continue exclusion of instances of 20 or more odor calls in a two-hour period resulting from a mass area odor issue not caused by KEDNY or KEDLI facilities. Such exclusion remains contingent upon Staff approval and consent as was adopted by the Commission in the 2021 Rate Order. The Companies will still be required to provide a request for such exclusion via e-mail notification to Staff, in accordance with 16 NYCRR §255.18, no later than seven days after such event(s).

Q. How long should this measure metric and associated revenue adjustments remain in place?

A. We recommend that the emergency response metric and associated revenue adjustments should remain in effect until changed by the Commission.

Damage Prevention

Q. Please explain the term Damage prevention.
A. Damage prevention refers to the Companies' ability to minimize and prevent excavation damage to their natural gas system. Any damage to a pipeline can result in the uncontrolled release of natural gas that could potentially lead to an incident.
Q. Please describe the performance measures related to the prevention of excavation damage.
A. To encourage an LDC to continuously strive to improve its performance, targets for damage prevention within an LDC's control have been established in rate case proceedings to measure progress in minimizing damages to their underground pipeline facilities. The Damage Prevention measure is comprised of metrics for overall damage, damage caused by mismarks, and damage caused by the LDC or its contractors. The targets are set on a per 1,000 one-call tickets basis.
Q. What is a one-call ticket?
A. The Commission's pipeline safety regulations contained in 16 NYCRR Part 753, Protection of Underground Facilities, require excavators to

make a toll-free call to a one-call notification system and provide notice of their intent to perform excavation work prior to commencing excavation. The one-call notification system is an organization with the purpose of establishing and carrying out procedures to protect underground facilities from damage due to excavation and demolition. There are two one-call notification systems in New York State: U-Dig New York, or UDNY, and New York 811, or NY 811. The one-call notification system that covers KEDNY and KEDLI's service territory is NY 811. NY 811 collects pertinent information from the excavator and transmits it to the member utilities that may be affected by the excavation work. Those utilities then mark the location of their affected facilities so that the excavator can take precautions to avoid damaging them. Each incoming call to NY 811 will generate outgoing notices to the member utilities, including gas, electric, telephone, cable, water, and sewer companies. A notice received by the utility is referred to as a one-call ticket.

Q. The Panel indicated that the total damage category includes damages caused by mismarks. What is a mismark?

A. A mismark occurs when a utility fails to accurately mark the location of its existing underground facilities in response to the one-call ticket. Consistent with the requirements of 16 NYCRR Part 753, and for the purpose of this measure, a mismark is considered any instance where the markings are off by more than two feet from the location of the underground facility. A mismark also includes any instances where the utility fails to mark its facilities in response to a properly requested one-call ticket.

Q. What are damages by the Companies and/or the Companies contractors?

A. These are damages caused by Companies personnel or by contractors directly working for the Companies.

Q. Are damages due to mismarks, and Companies and Companies contractors within the Companies' control?

A. Yes. KEDNY and KEDLI could improve or eliminate

their damages due to mismarks as they continually adopt best practices to locate their own facilities and remove older leak prone pipe that is less accurately identified on facility records with newer pipe whose exact locations are known. Similarly, the Companies should have better control over the contractors they retain to perform work for them by ensuring their employees and contractors have the training, qualifications, and experience to work carefully near facilities.

Q. Are there types of damage outside KEDNY's and KEDLI's control?

A. Damages caused by excavators' failure to notify the one-call notification center, sometimes referred to as no-calls, and unsafe excavation practices are not totally within the control of the Companies. However, KEDNY and KEDLI can minimize damages resulting from such conduct by influencing excavator activity through robust outreach and education efforts, by continuing to bill excavators for repair costs when the excavators damage the Companies' facilities and are at fault, increasing inspection activities

of excavation occurring near gas facilities, and by referring problem contractors to Staff for enforcement purposes. 16 NYCRR Part 255.614 requires that, where the operator has reason to believe damage could be done by excavation activities, the pipeline must be inspected as frequently as necessary during and after the activities to verify the integrity of the pipeline. In addition, the Companies should consider developing and following best practices, in conjunction with trade associations or other organizations focused on protecting underground facilities, such as the Common Ground Alliance.

Q. Are there measures associated with damages due to no-calls as a component of the overall damage measures?

A. Yes. Damages due to no-calls are instances where the excavator fails to provide notice of intent to excavate to the one-call notification system, and thus, no one-call ticket is generated. Normalization by 1,000 notifications is made to provide an indication of relative construction activity for each year

and allows for comparison of relative damages across years. Therefore, while there's no corresponding 'notification' in the "per 1,000 notification" amount, a normalization by 1,000 notifications is still used to normalize the "no-call damages" for comparison between years and with the other causes of damages.

Q. How does Staff assist utilities in meeting damage prevention requirements?

A. The Commission has an enforcement program, which provides for the imposition of penalties for violations of Part 753. In 2007, this program was expanded by requiring gas LDCs to report all instances of damage due to no-calls. Damages due to failure to provide notice of intent, no-calls, are the most straight-forward violations of Part 753 to enforce. LDC participation takes little effort, results in greater enforcement, and eventually lowers the rate of damage to underground pipeline facilities. This joint effort has led to a significant decline in the State over the years in damages due to no-calls. In addition, when promptly notified and resources are available, Staff can assist LDCs

by addressing problem excavators in real time.

Q. What are KEDNY's and KEDLI's current overall damage prevention metric targets and associated revenue adjustments?

A. KEDNY's and KEDLI's current overall or total damage prevention targets and associated revenue adjustments established in 2021 Rate Order are as follows: for a total damage rate per 1,000 one-call tickets greater than 3.75, the Companies would incur a NRA of 20 BPs; for a rate between 3.51 and 3.75, the Companies would incur a NRA of 10 BPs; for a rate between 3.26 and 3.50, the Companies would incur a NRA of five BPs; for a rate between 1.51 and 3.25, the Companies would not incur or earn any BPs; for a rate between 1.26 and 1.50, the Companies would earn a PRA of five BPs; for a rate below 1.26 the Companies would earn a PRA of ten BPs. There are no separate targets for damages due to mismarks and Companies' and Companies' contractors.

Q. What were the statewide performance levels for damages due to mismarks, damages due to Companies and Companies contractors, and total

damages per 1,000 one-call tickets in 2022?

A. In 2022, the average statewide performance level was 1.70 for the overall damages, 0.40 for damages due to mismarks, and 0.07 for damages per 1,000 one-call tickets due to Companies and Companies' contractors tickets.

Q. How have KEDNY and KEDLI performed in comparison to the 2022 statewide average?

A. For the overall damages per 1,000 tickets, KEDNY's and KEDLI's performances in 2022 were worse than the statewide average of 1.70, with KEDNY at a 1.80 damage rate and KEDLI at a 2.48 damage rate. For damages due to mismarks both KEDNY's and KEDLI's 2022 performance was worse than the statewide average, at a rate of 0.55. For damages due to damages due to the Companies employees and their contractors, KEDNY performed better than the statewide average at a rate of 0.05, and KEDLI performed at the statewide average at a rate of 0.07.

Q. Please describe KEDNY's and KEDLI's historic performance as it relates to the overall damage rate, inclusive of all measures.

A. For the overall damage rate in the past five

years, 2018 through 2022, KEDNY's actual performance was measured at 2.56, 2.16, 2.95, 1.73, and 1.80. KEDLI's actual performance was measured at 2.79, 2.32, 1.84, 2.19, and 2.48.

Q. What was KEDNY and KEDLI's historic performance as it relates to damages due to mismarks?

A. For damages due to mismarks per 1,000 tickets for the period 2018 through 2022, KEDNY performed as follow: 0.75, 0.59,0.67, 0.50, and 0.55; and KEDLI performed as follow: 0.79, 0.69, 0.42, 0.50, and 0.55.

Q. What was KEDNY and KEDLI's historic performance as it relates to damages due to the Companies or Companies' contractors?

A. For damages due to Companies' and their contractors per 1,000 tickets from 2018 through 2022, KEDNY performed at 0.03, 0.04, 0.07, 0.04, and 0.05; and KEDLI performed at: 0.15, 0.09, 0.05, 0.10, and 0.07.

Q. Where can more information concerning these results be found?

A. The Companies' historic performance is well documented in the most recent Gas Safety Performance Measures Report, filed in Case 23-G-

0224.

Q. Please describe the Gas Safety Performance Measures Report.

A. The Gas Safety Performance Measures Report is an annual report presented to the Commission by Pipeline Safety Staff within the DPS. The report summarizes data and analyzes performance in the areas of damage prevention, emergency response, leak management, and compliance with the Pipeline Safety Regulations. It also contains data from subsets of those areas to provide a more thorough analysis. The Report is used as a tool to track and identify LDC performance in areas widely identified as high-risk.

Q. Have KEDNY and KEDLI incurred any negative revenue adjustments for failing to meet its targets 2018 through 2022?

A. No. Neither KEDNY nor KEDLI incurred any negative revenue adjustments for the period of 2018 through 2022.

Q. Have KEDNY and KEDLI proposed any changes to their current damage prevention measure targets and associated revenue adjustments?

A. No. KEDNY and KEDLI proposed no changes to the current damage prevention targets and associated revenue adjustments.

Q. Does the Panel recommend any changes to the current damage prevention targets and associated revenue adjustments?

A. Yes. The Panel recommends for both KEDNY and KEDLI the following targets for the overall damage rate per 1,000 tickets: 2.75 with an NRA of 20 BPSs; a rate between 2.51 and 2.75 with an NRA of 10 PBSs; a rate between 2.01 and 2.50 with an NRA of 5 BPSs for failure to meet the established targets; for a rate between 1.51 to 2.00 the Companies will not incur any revenue adjustments; for a rate between 1.10 and 1.50 the Companies will incur a PRA of 5 BPs; and for a rate less than 1.10 the Companies will incur a PRA of 10 BPs should the Companies exceed the established targets as shown in Exhibit___(SPSP-2).

Q. Explain why the Panel recommends more stringent damage rate targets?

A. The Panel reviewed KEDNY and KEDLI actual performance for the past five years, 2018

through 2022, and found that Companies' performance is far below par and thus exceeds their current overall damage rate target of 3.75 per 1,000 one-call tickets. KEDNY had a five-year average rate of 2.24 per 1,000 one-call tickets and KEDLI had a five-year average of 2.32 per 1,000 one-call tickets. When comparing the Companies' actual performance to the statewide average rate of 1.70 in 2022, both Companies performed far worse than the statewide average.

Q. How long should the damage prevention measure targets and associated revenue adjustments remain in place?

A. The damage prevention targets, and associated revenue adjustments should remain in effect until altered by the Commission.

Compliance With Pipeline Safety Regulations

Q. Panel are you familiar with enforcement of the Commission's pipeline safety regulations?

A. Yes. All LDCs in New York State must comply with the Commission's pipeline safety rules and regulations contained in 16 NYCRR Parts 255, 259, 261 and 753, with no exception.

Q. How are violations of these regulations identified and investigated?

A. DPS Staff conducts annual record and field audits of KEDNY and KEDLI and investigates incidents involving the Companies' natural gas facilities, as well as investigations of complaints from the public related to issues such as gas odors. Typically, when DPS Staff discovers one or more instances of non-compliance with the Commission's pipeline safety regulations during these annual audits, DPS Staff holds a compliance meeting with the Companies to detail all instances of probable non-compliance with the gas safety code section(s).

Q. What is the purpose of the compliance meeting?

A. The compliance meeting is an opportunity for the Companies to provide information clarifying the deficiencies. The information provided by the Companies during the compliance meeting can consist of a further explanation of the suspected noncompliance, or presentation of records that were not available at the time the audit was conducted.

Q. Is there a deadline for the Companies to provide this information?

A. The Companies are required to provide this information within five business days of the compliance meeting. After the five-business day period, DPS Staff reviews the information and subsequently issues a formal letter containing specifics regarding the alleged violation(s) of the regulations.

Q. Panel, is there any distinction between the terms “violation” and “occurrence”?

A. DPS' Pipeline Safety Staff uses the term ‘occurrence’ to describe the number of instances that a specific violation takes place, but for purposes of this compliance measure, there is no difference between the terms, ‘violation’ and ‘occurrence’. Historically, negative revenue adjustment letters noted the violation of a specific requirement and identified the total number of occasions that requirement was violated. The term violation is commonly referred to in discussions and is widely understood within the pipeline industry. These words are and can be used interchangeably

Q. How are violations categorized?
A. Violations are categorized as either high risk or other risk and are based on the likelihood and consequence of risk to public safety. High risk refers to code requirements that, if not followed, lead to a greater possibility of an adverse impact on public safety relating to loss of life or property. A breakdown of code sections by risk category is provided in Exhibit____(SPSP-3).
Q. Do KEDNY and KEDLI currently have non-compliance measure targets and associated NRAs?
A. Yes.
Q. What are KEDNY's and KEDLI's current non-compliance or violation measures?
A. The non-compliance measures include violations of high and other risk code section category for both record audits and field audits.
Q. For what period or cycle are these measures assessed?
A. Since these measure's results are derived from Staff's field and record audits, they are assessed on a two-year audit cycle, or audit year. As an example, the 2022 Field Audit,

conducted in 2022, and the 2023 Record Audit, conducted in 2023, compromise the 2022 Audit Year.

Q. What are the targets and associated NRAs for these measures?

A. KEDNY's and KEDLI's current non-compliance targets and associated NRA BPs are as follow: for record audits, the first five high risk violations are not subject the Companies to negative revenue adjustments; from the sixth to the 20th high-risk violations, the Companies would incur a NRA of 0.5 BP per violation; and for each high-risk violation greater than 20, the Companies would incur a NRA of one BP per violation. For the first 15 other risk violations, the Companies would not be subject to negative revenue adjustments; and for each other risk violation greater than 15, the Companies would incur a NRA of 0.25 BP per violation. For field audits and investigations, the Companies would incur negative revenue adjustment of 0.5 BP for each of the first 20 high-risk violations; for each high-risk violation in excess of 20, the Companies would

incur a NRA of one BP per violation; and for all other risk violations, the Companies would incur a NRA of 0.25 BP per violation.

Q. Have KEDNY and KEDLI proposed any changes to their current violation metric targets?

A. No. The Companies did not propose any changes to the current violations targets and associated NRA.

Q. Does the Panel recommend any changes to the current violation targets and associated NRA?

A. Yes. The Panel recommends that all high-risk field audit violations should result in a NRA of one BP, as opposed to the current NRA structure. Therefore, any violation would result in a NRA of one BP. In addition, the Panel recommends lowering the number of record violations to 10 as to when the next NRA basis points bracket will start, as shown in Exhibit__(SPSP-2).

Q. Have KEDNY and KEDLI incurred any NRA BPs for non-compliance with pipeline safety regulations in 2018 through 2021?

A. Yes. Based on Companies' response to DPS-510, Supplemental Attachments 1 and 2, as shown in Exhibit___(SPSP-1), for the period 2018 through

2021, KEDNY incurred NRAs of $0.684 million, and KEDLI incurred NRAs of $1.192 million; owed to customers.

Q. Does this Panel have a recommendation of how these NRA funds should be used?

A. The Panel recommends that the remaining NRA funds be used to partially offset the costs of the Panel's recommended Connected RMD Pilot Program for KEDNY, and fully offset the costs of the program for KEDLI. The Connected RMD Pilot Program is addressed in detail by this Panel in the ACI Program section.

Q. How does the Panel account for violations for which the Companies either cannot provide a record, or the record provided is inaccurate?

A. DPS' Pipeline Safety Staff considers that there is a violation when records are requested from the Companies and these records are either not provided, found to be incomplete or inaccurate, or do not meet the requirement of the regulation(s).

Q. Does the Panel recommend a cap for the associated NRAs for record audit violations of a given code section?

A. Yes. We recommend a ten-violation cap for repeated record audit violations of each of the code sections identified in Exhibit__(SPSP-3).

Q. Does this mean that Staff would not pursue enforcement if there were more than ten violations of a given code section?

A. No. DPS Staff considers more than ten record audit violations of a single code section to be gross non-compliance with regulatory requirements, which may necessitate additional investigation and/or enforcement action. If the Companies incur more than ten record audit violations of a single code section, we recommend that the Commission require KEDNY and/or KEDLI to file with the Secretary to the Commission, within 90 days of DPS Staff's audit letter, a remediation plan explaining how it will address and resolve its compliance issues. The remediation plan should include dates certain by which all cited violations will be brought into compliance and specify what remedial actions will be taken to mitigate recurrence of the non-compliance and when those actions will be taken and fully implemented.

Q. Why does the Panel recommend that the Companies file and execute an implementation plan if more than ten record audit violations of a single code section?

A. The performance measure provides a financial disincentive for non-compliance with the pipeline safety regulations, but it addresses, at first, only the first ten record audit violations of a specific requirement. If the financial disincentive is insufficient to induce compliance, then additional measures are necessary to alter the Companies' performance. It is critical for the Commission to be able to address all violations of its pipeline safety regulations given the potential for serious harm. The implementation plan would provide a specific mechanism to further this goal and may avoid the need for formal, intensive penalty actions against the Companies for each non-compliance. The Commission, however, always has the authority to pursue a penalty action to promote regulatory compliance notwithstanding any financial disincentive or reporting requirement that also may be in place.

Q. If KEDNY and KEDLI fail to comply with its implementation plan, how does the Panel recommend those violations be treated by the Commission?

A. If the Companies fail to comply with its implementation plan, the total number of violations of a given code section in excess of ten would be included with the remainder of the violations being considered under these compliance measures, and thus count toward the total number of violations and thus the total NRAs assessed.

Q. Does the Panel recommend a cap on the negative revenue adjustments for field audit and investigation violations of a particular code section?

A. No. Field audit and investigation violations are typically discovered when Staff witnesses the Companies performing an action or task. Notwithstanding DPS Staff's presence, violations of the minimum pipeline safety regulations or the Companies' procedures still occur. Staff expects that the Companies' performance should be always at its best, however, we also

recognize the effect of being observed. Therefore, any violation discovered during any field audit or investigation may indicate a lack of competency in performing the action or task, or lack of safety culture within the Companies.

Q. What is the Companies' annual exposure in terms of the basis points for the associated NRA for the Violation metric?

A. For the failure to comply with pipeline safety regulations, each Company has a maximum annual NRA exposure of 75 BPs, consistent with all other utilities in the State.

Q. How long should violation measure targets and associated NRA remain in effect?

A. The violation measure targets, and associated NRA should remain in effect until altered by the Commission.

Operator Qualification Program

Q. Please explain the term Operator Qualification.

A. Operator qualifications, or OQ, require that utilities develop and maintain training and evaluation programs for individuals performing "covered tasks" governed by PHMSA's regulations 49 CFR Section 192.805 and the Commission's gas

safety regulations 16 NYCRR Part 255.

Q. Where and when did the Commission adopt this definition of OQ and covered tasks?

A. In Case 99-G-1626, the Commission adopted PHMSA's original OQ Rule on January 10, 2001. On March 18, 2022, in Case 19-G-0736, the Commission issued a Memorandum and Resolution Adopting Amendments to 16 NYCRR Part 255, what the Panel will refer to as the 2022 OQ Order, which adopted more stringent OQ requirements. Among other items included in the OQ Order were the expansion of the definition of "covered task" to include additional tasks performed on pipeline facilities connected to the natural gas systems; the modification of requirements for trainings and evaluations; standardization of the OQ requirements for utility employees and contractors; requiring programs effectiveness reviews; and additional records retention requirements. The changes in the 2022 OQ Order are intended to ensure that individuals working on a pipeline have the proper knowledge, skills, and ability to perform a covered task and recognize and react to any abnormal operating

conditions they may encounter verified through practical tests and evaluations.

Q. Have KEDNY and KEDLI proposed any changes to their current OQ programs?

A. Yes. As a result of the expanded OQ requirements approved by the Commission, KEDNY and KEDLI were required to make changes to their current OQ programs. As part of these changes, the Companies proposed to expand the current list of covered tasks performed on pipeline facilities connected to the natural gas systems for which OQ is required. The Companies also propose developing and updating training curriculum and operating and maintenance procedures for covered tasks, review modules, and hands-on performance evaluations. In addition, the Companies request funds for additional capital investments for one new permanent testing lab at each of the Companies training facilities, as well as incremental operating and maintenance, materials, and labor.

Q. Have the Companies proposed hiring any FTEs associated with the changes to the current OQ programs?

A. Yes. KEDNY and KEDLI, each requested to hire 16 FTEs, to cover the increase in workload due to the changes in the OQ requirements.

Q. Does the Panel agree with Companies' proposed changes to their current OQ programs?

A. Yes. We support the Companies' proposed enhancement to their current OQ programs, including the Companies' request to hire 16 FTEs for each company. The additional funding will help enable the Companies to comply with the OQ Order.

Q. Does the Panel have any concerns?

A. Yes, we are concerned that the proposed FTEs do not go far enough to meet the changes made in the OQ Order. The intent of the Commission's modifications was to have gas utilities take ownership of their OQ programs including training of employees performing cover tasks. Ideally, OQ programs should be providing the same training to relevant personnel—be they company employees or contractor employees. The Companies' proposal does not directly train contractor employees but rather only allows for training of contractor's trainers. Therefore,

contractor employees may not receive the same level of training as company employees.

Q. Does the Panel recommend changes to Companies' proposed changes to their current OQ programs?

A. No, not at this time as Staff has not had the opportunity to perform a comprehensive review of the changes made to the Companies' Operator Qualification program. While the Panel has reservations, the training of employees is ultimately the Companies' responsibility. If the lack of total ownership of the OQ program continues to be problematic or deficiencies with the Companies' training and evaluation program are noted during Staff's compliance audits, Staff can pursue remedial actions through further investigation and enforcement mechanisms.

Q. Does the Panel have any recommendations on the Companies' forecast of costs associated with the OQ program?

A. No. The costs of the Companies' proposed changes to the OQ program are being addressed by the DPS Staff Gas Infrastructure and Operations Panel.

Advanced Communication Infrastructure

Q. Please describe the Companies' proposed programs to implement advanced communication networks and metering programs.

A. The Companies are prosing three programs which include: (i) the Advanced Communication Infrastructure, or ACI – Advance Metering Infrastructure, or AMI, Network Program; (ii) the ACI – Smart Meter Replacement Program; and (iii) the ACI – RMD Program.

Q. Is the Panel making any recommendations regarding the Companies' ACI or AMI proposals?

A. No, this Panel is not making recommendations regarding the Companies' ACI and AMI proposals, however, we do propose a separate RMD Pilot as mentioned earlier and will now describe that program. Staff's recommendations which reject the Companies' ACI and AMI proposals are contained in the Staff Policy Panel's testimony.

Q. Please describe the RMD program adopted in 2021 Rate Order?

A. As stated on page 122 the 2021 Rate Order, the Companies distribute plug-in devices, similar to smoke and carbon monoxide detectors, with

accompanying gas safety brochures to customers. The plug-in devices provide customers with awareness of potential gas leaks, but these devices do not provide real-time feedback to the Companies' gas control rooms. In addition to their limited functionality, as indicated in the Companies' annual RMD filings, filed in Cases 19-G-0309 19-G-0310, supply chain issues have impacted the Companies' ability to timely procure and distribute the plug-in devices. The Companies propose to discontinue their existing RMD program. The Companies have adjusted the Historic Test Year to remove the costs associated with the existing RMD program.

Q. Does Staff support the Companies' proposal to discontinue their existing RMD program?

A. Yes, however, we also have an alternative proposal to the Companies' RMD portion of its ACI program.

Q. Please explain the Panel alternative recommendation.

A. We recommend as an alternative to the Companies' proposed RMD portion of the ACI using connected RMDs devices that make use of Long Range Wide

Area Network, or LoRaWAN, technology, similar to the RMDs used by Con Edison in its service territory to pursue the deployment of new RMD devices. The Companies' proposal of multiple network channels, the Panel is recommending using one network technology for connected RMDs to start in the rate year.

Q. How does the Panel recommend the new Connected RMD Pilot Program be funded?

A. As discussed later in our testimony, we recommend shifting the funds from the Company's proposed Damage Prevention enhancements, towards Staff's recommended new Connected RMD Pilot Program, or $1.146 million for KEDNY, and $0.712 million for KEDLI. Additionally, the Panel recommends that the new proposed Connected RMD Pilot Program be partially funded for KEDNY and fully funded for KEDLI using the remaining NRA funds assessed to the Companies for their non-compliance with pipeline safety regulations for the period 2018 through 2021, as discussed previously. Therefore, we applied approximately $0.684 million of NRAs for KEDNY, for a net program cost of 0.462 million and for KEDLI

approximately $0.712 million, which fully offsets the cost of the program.

Q. Does the Panel have any other recommendations?

A. Yes. We recommend that the Companies purchase the new Connected RMD in bulk, providing the possibility of obtaining a better cost per unit. We also recommend that the Companies develop and file a plan with the Secretary to the Commission, for the implementation of the Connected RMD pilot program, within 60 days from the issuance of the Commission order in this case, for Staff's review. The Plan should include the number of customers who will be included, the number of methane detector units to be distributed, how the devices are configured, the interval(s) for data transmission, and associated cost per each unit. After the initial filing, we recommend that the Commission require the Companies to file updates with the Secretary to the Commission on a quarterly basis. The update filing should include, the total number of devices distributed, an assessment of the program's effectiveness, and any barriers encountered in

the roll-out of the pilot. In addition, we recommend that a percentage of these devices be installed in disadvantaged and or low-income communities. The percentage should be equal or greater than that of the total percentage of customers within disadvantaged and low-income communities in each Companies' service area.

Q. What are the benefits of a Connected RMD over the RMDs that the Companies have been deploying under the current program?

A. The current devices are plug-in devices, similar to those of smoke and carbon monoxide detectors, with limited functionality. They do not provide real-time feedback to the Companies. The Panel's recommended Connected RMDs have many advantages over the current RMDs, such as: transmitting alerts in real-time to gas control, they do not require high volume data transmission support, they have extended life of up to 10 years, and relatively low power consumption, etc. For these reasons, we recommend the Commission adopt our proposed alternative RMD program.

Meter Relocation Program

Q. Do KEDNY and KEDLI currently have a Meter Relocations Program?

A. Yes. Both KEDNY and KEDLI have a Meter Relocation Program adopted by the Commission in its Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans, issued December 16, 2016, in Cases 16-G-0058 and 16-G-0059; and was further adopted in the 2021 Rate Order. The 2021 Rate Order required KEDNY and KEDLI to relocate gas meters located inside premises to outside of premises, where possible, in conjunction with KEDNY's and KEDLI's proactive mains and services replacement programs. The 2021 rate Order also required the Companies to provide annual reporting on meter relocations, distribute customer meter relocation refusal acknowledgement forms, and propose a plan to relocate inside meters outside of premises for inclusion in the next rate case.

Q. How many inside meters do KEDNY and KEDLI each have currently?

A. According to Companies' response to DPS-502, as shown in Exhibit___ (SPSP-1), in 2022 of the

1,280,399 total meter accounts in the KEDNY service territory, 1,088,573 are inside meters, and of the 628,982 total meter accounts in the KEDLI service territory, 209,254 are inside meters.

Q. Have KEDNY and KEDLI proposed a new program related to meter relocation?

A. Yes. The 2021 Rate Order required KEDNY and KEDLI to develop plans to address any remaining meters that are not located in a readily accessible location and file those plans in connection with their next rate proceedings. As a result, the Companies propose a standalone meter relocation program, which means that in addition to the current meter relocations achieved through their mains and services replacement programs, the standalone program will provide funding to relocate meters that are not part main and service replacements approved by the 2021 Rate Order. Under this program the Companies will proactively contact customers with gas meters located inside their premises to solicit meter relocations to outside their premises. Customers who consent to meter

relocation will be put into a queue and the Companies will complete meter relocations concurrently with associated field work.

Q. Are there other challenges which necessitate this proposal?

A. According to Companies' Gas Safety Panel's direct testimony, space constraints, challenges presented by the New York City Department of Buildings', or DOB, code, as well as customers' refusal to provide access to the operator's employees in their premises, have prevented KEDNY, and for a limited area of KEDLI's service territory from completing meter relocations.

Q. Are KEDNY and KEDLI undertaking any other efforts in conjunction with their meter relocation programs?

A. Yes. The Companies continue meeting with DOB, and DPS Staff to develop a resolution to NYC Code issues preventing meaningful meter relocation.

Q. What are the jurisdictional issues impacting the Companies' ability to relocate meters?

A. Per NYC Local Law 152, if a leak occurs on a customer owned plumbing or KEDNY and KEDLI's

inside piping, and the operator needs to make repair and perform pressure test, a master plumber is required to be present at the premises. Further, if the pressure test fails, NYCDOB requires that a master plumber perform repairs. This results in increases in cost associated with operating and maintenance tasks required under the Commission's regulations in 16 NYCRR Part 255, such as mandated leak survey, corrosion inspection, inside jurisdictional piping, and appurtenances for baseline and follow-up inspections. The regulations that pertain to these inspections are in 16 NYCRR Parts 255.723, 255.724, and 255.481, respectively.

Q. Does the Panel agree with KEDNY's and KEDLI's proposed new Meter Relocation Program?

A. Yes. The high number of inside meters, especially in KEDNY's service territory, is in part due to difficulties accessing customers' premises. The proposal to relocate meters outside when conducting field work, has safety benefits, reduces costs associated operating and maintenance such as leak surveys, leak repairs,

corrosion inspections, etc. Therefore, we agree with Companies new proposed meter relocation program.

Inside Service Line Inspections

Q. What is the Commission's current definition for "service line?"

A. On April 2, 2015, the Commission issued a Memorandum and Resolution Adopting Gas Safety Regulation Amendments, or 2015 Order, in Case 14-G-0357. The 2015 Order adopted a new definition of "service line" that extends service lines "to the outlet of the customer meter or at the connection to a customer's piping, whichever is further downstream where a meter is located within the building."

Q. What regulation governs service line inspections?

A. 16 NYCRR Part 255.723(b), requires that leak surveys for services lines in business districts be completed annually and in non-business districts once every three or five years.

Q. What are the current intervals for mandated service line inspections?

A. On April 20, 2017, to address the changes in the

definition of service line, the Commission issued its Order Establishing Statewide Inspection Schedule and Procedural Requirements in Case 15-G-0244, or 2017 Order. The 2017 Order established mandated leak survey and corrosion inspection intervals and follow-up inspections of jurisdictional inside service lines and appurtenances. In its 2022 OQ Order the Commission modified the inspection intervals for "Atmospheric Corrosion Inspections" covered by 16 NYCRR Part 255.481, by extending the intervals to once every five years not to exceed sixty-three months for both business and non-business districts.

Q. Please describe KEDNY's and KEDLI's Inside Service Line Inspection Program.

A. The Companies conduct their Inside Service Line Inspection program on a multi-year rolling basis, to ensure that every service is inspected within the required interval. The Companies conduct leak survey and atmospheric corrosion inspections on inside service lines at the same time, and where possible, walking surveys are bundled with inside service line inspections to

align atmospheric corrosion inspections and leak survey on the same cycle for all mains, services, and inside and outside meter sets to reduce costs. Further, there is a $100 fee assessed to customers who refuse to access to conduct these inspections.

Q. Have KEDNY and KEDLI made any proposals in these cases regarding the Inside Service Line Inspections?

A. The Companies proposed to update the costs of the Inside Service Line Inspections Program based on the completion of the current inspection cycle and to reflect the new regulatory cycle intervals. For KEDNY, the change in O&M costs will be an increase by $1.321 million in the RY, and a decrease by $4.679 million in FY25, $2.971 million in FY26, and $8.581 million in FY27. For KEDLI, the change in O&M costs will be a decrease by $0.574 million in the FY24, $1.831 million in FY25, $1.018 million in FY26, and $2.407 million in FY27.

Q. Does this Panel agree with Companies proposed incremental O&M costs associated with new

regulatory cycle intervals?

A. Yes. This Panel supports Companies proposed costs associated with new regulatory cycle intervals for the Inside Service Line Inspections. The costs associated with O&M are addressed by Staff's Gas Infrastructure and Operation Panel.

Q. Are the Companies making any other changes to any customer fees associated with the Inside Service Line Inspection program?

A. No. The Companies will continue to assess the $100 penalty against their customers who refuse access to complete the inside service line inspections.

Q. Have KEDNY and KEDLI proposed any other changes regarding the Inside Service Line Inspections?

A. Yes. If the Advanced Communication Infrastructure – RMD Program the Companies have proposed is adopted, the Companies propose to change the frequency of Business District inside leak surveys from annually to at least once every five years, within intervals not to exceed sixty-three months, after the RMDs are deployed to align these leak surveys with ACI inspection

cycles required by 16 NYCRR §255.481.

Q Does this Panel agree with Companies proposal to change the frequency of Business District inside leak surveys from annually to at least once every five years, within intervals not to exceed sixty-three months, after the RMDs are deployed?

A. No. The Panel does not agree with the Companies proposal to change the frequency of leak survey in Business District from annually, as required by 16 NYCRR §255.723, to at least once every five years, within intervals not to exceed sixty-three months. We recommend that the leak surveys continue as required by 16 NYCRR §255.723.

Q. Panel explain the reason for disagreeing with Companies proposal?

A Without a fully deployed and functioning RMD program in place the Companies proposal to change the survey frequency would be in violation of 16 NYCRR §255.723. Further, the RMDs Program recommended by this Panel would be a pilot program, with a limited number of customers; not a full-scale program. At this time, there is no data available on how these

news devices will function on Companies system. It would be premature to change the frequency of surveys when only a small portion of the Companies' customers would have an RMD installed on their service.

Voluntary Integrity Management Program for Pipelines Operating Above 125 psig Program

Q. Please explain what is the Voluntary Integrity Management Program, or Voluntary IMP?

A. Under the Voluntary IMP, the Companies will inspect five miles of pipeline per year with a total cumulative of 20 miles of pipeline inspected per company between the beginning of the RY through the end of calendar year 2028. The Companies have identified and prioritized these pipelines segments across all areas of their service territories based on the following criteria: (i) operating stress of the pipeline; (ii) installation date; (iii) maximum allowable operating pressure of greater than 125 psig; and (iv) the population concentration around the pipeline.

Q. Are the Companies requesting any funding related to Voluntary IMP?

A. The Companies request an operating expense of $1 million per Company in RY and each subsequent FY to support inspection, repair, and excavation costs. The Companies also propose hiring two FTEs each in the RY, as corrosion technicians support these expanded corrosion control activities.

Q. Does the Panel agree with Companies proposed Voluntary IMP?

A. The Panel agrees with the purpose of the proposed Voluntary IMP, however, we disagree that this should be a voluntary program. The Panel contends that the transmission mains covered under this program are "transmission lines" as defined by 16 NYCRR 255.3 and are therefore subject to additional requirements.

Q. How are transmission lines classified in the Commission Regulations?

A. There are three criteria used to classify a pipeline as transmission line. These are (i) transports gas from a gathering line or storage facility to a distribution center or storage facility, or directly to a larger volume user that is not downstream from a distribution

center; or (ii) operates at a hoop stress of 20 percent or more of specified minimum yield strength; or (iii) transports gas within a storage field. The third criterion is not applicable to the Companies' service territory and the Companies have been only applying the second criterion. DPS Staff has long asserted that the pipelines covered under the Voluntary IMP should be classified as transmission lines under the first criterion, and, therefore, fall under the pipeline safety regulation mandated Transmission Integrity Management Program, or TIMP.

Q. If these pipelines are supposed to be included in the TIMP, are the Companies out of compliance with the Commission's Pipeline Safety Regulations?

A. Not necessarily. The Commission's Pipeline Safety Regulations, under 16 NYCRR Part 255, do not define "distribution center," however, in Staff's view is that a "distribution center" begins at the outlet of a regulator station where gas is introduced into a main, whereas main is defined as "a distribution line that

serves as a common source of supply for more than one service line," and there are no mains upstream of that regulator station. DPS Staff refers to such regulator station as a "district regulator station." Pipelines upstream of a district regulator are transmission lines by fulfilling the function of the continued transportation of "gas from a gathering line or storage facility to a distribution center" and would not be a main because, no service lines are attached, and it is not serving as a common source of supply for more than one service line.

Q. How do the Companies define these terms?

A. According to the Companies' response to DPS-890, as shown in Exhibit___(SPSP-1), the Companies' concept of where the "distribution center" begins is at a City Gate, "… where the Companies take custody of gas from an interstate pipeline." If one were to adopt the Companies' view, one would consider pipelines upstream of a district regulator station, without service lines attached, to be mains. The Companies refer to such pipelines as a "transmission main." Transmission main is a term not

recognized or in any way supported by the Commission's Pipeline Safety Regulations. Staff has long asserted that its interpretation of the regulations is the correct one, since "distribution center" is not defined, however, both views are reasonable interpretation of the Commission's Pipeline Safety Regulations. Therefore, without a declaratory ruling, or the addition of a definition, of "distribution center" added to the Commission's Pipeline Safety Regulations, the Companies' compliance with TIMP rule cannot be determined definitively. The Panel recommends that the Commission require the Companies to comply with the Commission's regulations pursuant to Staff's interpretation and pursue any additional actions to effectuate the necessary changes in its regulations.

Q. If the Companies' interpretation is correct and the proposed program is voluntary, does the Panel still agree with the proposal?

A. Yes. Even if these pipelines are "mains," the safety risks associated with pipelines operating at or above 125 psig has long been recognized by

the Commission's Pipeline Safety Regulations by requiring such pipelines to be designed, constructed, operated and maintained as transmission lines. Therefore, the Panel recommends that Commission allow the requested operating expense of $1 million per Company in RY and each subsequent FY to support inspection, repair, and excavation costs, and the hiring of the two proposed FTEs, as corrosion technicians in the RY to support these expanded corrosion control activities.

Damage Prevention Program Enhancements

Q. Please explain the Damage Prevention Program Enhancements as proposed by KEDNY and KEDLI.

A. KEDNY and KEDLI are requesting incremental funding to support the increases in costs associated with their locate and mark-out contracts, Damage Prevention Advisor contracts, and One-call/Dig Safe support. The Companies' forecast an increase in the number of one-call tickets, and therefore an increase in the risk of third-party damages. KEDNY and KEDLI also anticipate the need to provide additional third-party education, conduct investigations, add

additional oversight of locating, and continue to visit and monitor third-party contractors with repeat damages to the Companies facilities.

Q. Please describe the costs related to the Damage Prevention Program enhancements.

A. KEDNY requests incremental O&M funding of $1.146 million in the RY, $1.533 million in FY26, $1.932 million in FY27, and $2.343 million in FY28. For KEDLI, the contract amendments will result in incremental O&M costs of $0.712 million in the Rate Year, $0.871 million in FY26, $1.035 million in FY27, and $1.203 million in FY28.

Q. Does this Panel agree with KEDNY and KEDLI's proposal?

A. This Panel appreciates the Companies' attempt to positively influence damages per 1,000 one-call tickets by proposing this program, however, significant changes or rapid improvements in performance typically occur only as a result of some form concentrated effort or a change produced by an outside influence, such as increased enforcement, technological changes such as the introduction of the one-call

notification system, or by large increases in resources. The Panel's analysis of the Companies' the state-wide damages per 1,000 notification metric indicates that the Companies has remained stagnant and significant improvements will only come through the introduction of another concentrated effort or advancement. The Panel does not agree that this incremental effort provides significant enough resources to result in significant improvement to the damages prevention metric. The Panel supports the Companies' current efforts as they are sufficient to maintain their current performance. Further, we contend that the proposed incremental resources would be better allocated elsewhere. Therefore, we recommend disallowing the requested funding, and instead, as previously discussed, shifting these funds towards our new Connected RMD Pilot Program discussed earlier under the Advanced Communication Infrastructure section of our testimony. The proposed shift in dollars is demonstrated in the Staff Revenue requirements Exhibit___(SRRP-4).

Gas Pipeline Safety and Compliance (AKA Gas Pipeline Safety Management)

Q. Please describe KEDNY's and KEDLI's proposed improvements in the Gas Pipeline Safety and Compliance group?

A. The Companies' Gas Pipeline Safety and Compliance, or GPSC, group is responsible of performing controls testing work to ensure gas pipeline safety controls are effective and operating as designed. The Companies propose hiring four analysts and two compliance assurance positions in the GPSC, allocated equally between KEDNY and KEDLI, to conduct the expanded controls testing work, provide quality and compliance assurance, and provide expanded oversight. The Companies anticipate that the requested FTEs will be hired prior to, or during the Rate Year.

Q. Please describe KEDNY's and KEDLI's proposed improvements in the Gas Pipeline Safety Management group.

A. The Companies' Gas Pipeline Safety Management, or GPSM, group is responsible for implementing and improving Pipeline Safety Management System,

or PSMS. The Companies determined that two focus areas are currently in need of improvement, specifically internal stakeholder engagement and work management reviews. The Companies state that they need to develop and manage a strategic stakeholder plan to improve performance against this pipeline safety element. The Companies requested three incremental FTEs, two FTEs for internal stakeholder management to support awareness and stake holder engagement, and one FTE for management reviews and to drive continuous improvement towards the API RP 1173 elements.

Q. Did KEDNY and KEDLI have any additional proposal related to the GPSC?

A. Yes. The Companies requested two additional FTEs, one FTE in the Process management and Performance Improvement Department to support improvement of the PSMS and the compliance assessment, the other FTE is for the position of a manager to enhance the management of change process to stay current with any pending regulatory and industry change.

Q. Does the Panel agrees with KEDNY’s and KEDLI’s

requested 11 FTEs?

A. No. We disagree with the number of FTEs proposed by Companies, and instead we recommend a reduction of 6 FTEs, four for KEDNY and two for KEDLI.

Q. Panel please explain why do you recommend reducing the number of FTEs?

A. First the Gas Pipeline Safety and Compliance - AKA Gas Pipeline Safety Management is not a mandated program. The goal of Safety Management System, or SMS, is to prompt a culture of safety within an organization. Where SMS has been implemented, great improvements safe operations have been achieved. Therefore, the Panel supports Pipeline SMS but not to level proposed because there is no clear mandate to support the level of effort as proposed. Second, absent that clear mandate, we consider that the number of FTEs requested is excessive. This especially true when considering the in response to DPS-903, Exhibit____(SPSP-1), how the number of 11 FTEs was determined the Companies indicated that it was determined by reviewing current and future expected workloads, including increases

for pipeline safety specific internal stakeholder engagement activities, increased control testing plans, and performing second line assurance control assessment reviews of regulatory obligations contained in 16 NYCRR Part 255 and 261.

Q. Does this conclude the Panel's testimony at this time?

A. Yes. This concludes our testimony. Thank you.